

Amazon.com, Inc.

AMZN | \$2433.68

Outperform | Target Price/Base Case: \$4100.00

Company Update

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Company Statistics

Market Capitalization (B) \$1,798
52-Week Range \$2,256.38 - \$3,554.00

Earnings Summary

		2021	2022E	2023E
Revenue (B)	Q1	\$109	\$116A	..
	Q2	\$113	\$120	..
	Q3	\$111	\$130	..
	Q4	\$137	\$159	..
	FY	\$470	\$526	\$623
EBITDA (B)	Q1	\$19	\$16A	..
	Q2	\$19	\$18	..
	Q3	\$17	\$19	..
	Q4	\$17	\$23	..
	FY	\$72	\$76	\$108
EPS	Q1	\$15.80	\$(7.55)A	..
	Q2	\$15.13	\$2.73	..
	Q3	\$6.13	\$4.38	..
	Q4	\$27.76	\$8.17	..
	FY	\$64.85	\$7.68	\$50.50

1 Year Price History



Source: FactSet

Amazon's "Excess" Logistics: Takeaways From Expert Call With Marc Wulfraat

Our View: We hosted a Webinar today with Marc Wulfraat, President and Founder of MWPVL, to discuss Amazon's logistics buildout, the potential pace and magnitude of capacity reduction given clear signs that Amazon has an excess capacity problem, and the implications for the company's overall business. We came away incrementally positive on Amazon's ability to address its excess-capacity issue over the next 2-4 quarters, with our belief that 2 will be more likely than 4. That said, we also think that the Street may well be too high (again) in terms of its Operating Income outlook for FY'22 (we are @ \$14B vs. Street @ \$19B), though we believe a lot of this is priced in with the stock trading at a 40% discount to its average historical EV/EBITDA multiple (12X vs. 19X). AMZN remains one of our Top Longs in the Internet MegaCap sector. A replay of the Webinar as well as the slides are available upon request.

What Drove Amazon's Capacity Problem?: The two biggest drivers that led to Amazon's current capacity issue – the overbuilding and over-staffing of the company's retail capacity, as disclosed on the Q1 EPS call – include: **a)** Amazon over extrapolated strong demand trends to persist post Covid. We are currently seeing consumer demand trends normalizing back to pre-Covid levels – roughly 100bps of Online Retail penetration annually vs. 250bps in 2020; and **b)** Amazon launched a major accelerated shipping build-out program (Next Day, Same Day, and "Super Same Day") right before Covid. All in, Wulfraat estimates that AMZN will expand its Fulfillment Center network by 118MM sq ft or 46% from 2020-2022. Wulfraat also anticipates 2022 to be AMZN's peak capex year for U.S. industrial warehouse capacity.

How Solvable Is Amazon's Excess-Capacity Problem?: Following our conversation with Marc Wulfraat, we believe that Amazon can solve this issue within 2 to 4 quarters. Specifically, capacity rebalancing could require a headcount tapering of 65K full time employees, which per Wulfraat, could take 1 to 2 quarters, assuming normal attrition levels and a hiring freeze. Also, a capacity rebalancing could require a reduction in square footage growth expansion by 30 to 45MM, which could take 2-4 quarters (by Q1:23). This sq. ft reduction is expected to come not only from existing and active buildings, but also from delaying or halting new capacity expansion projects. Per Wulfraat's tracking, AMZN has already cancelled 22 U.S. projects totaling 8MM sq ft.

The Magnitude Of Amazon's Cost Reduction: Based on Wulfraat's analysis, for Amazon to return to Q1:21 Annualized Operating Income levels, the company would need to reduce its OpEx by \$23B this year. Wulfraat also estimates 7.6% Y/Y growth in AMZN North America retail sales in FY22. We believe this growth outlook for FY'22 could well prove way too conservative. AMZN North America retail grew 7.6% Y/Y in Q1 and comps get materially easier in H2 AND re-opening headwinds should abate AND Shipping Elasticity should spur greater sales growth. So we believe an amount possibly materially less than the \$23B in OpEx reduction could actually return AMZN to its Q1:21 Operating

Income level. That required 2-4 quarters for rebalancing could actually be closer to 2 than to 4.

How About “Super Same Day” and Next Day Delivery?: Wulfraat estimates Super Same Day (deliveries within 5-hour windows) is approximately 1/3 its way through with 45+ facilities of the potentially 150 that Amazon may need to build to broadly offer this service level. In terms of Next Day delivery, Wulfraat believes Amazon is likely in its 5th inning in terms of capacity buildout.

Amazon’s Grocery Goals: With Walmart, Kroger, and Costco as three of the largest players, Wulfraat believes Amazon is still perhaps a decade away from being a formidable competitor in the grocery vertical. He also thinks that Whole Food’s supply chain still remains immature and needs several billions of dollars of investment to scale. While Amazon is growing at a healthy clip in Online grocery sales, it remains a small % of total sales and a low-profit segment. We think Amazon will likely need to scale its Fresh stores to several hundred (maybe to a couple thousand) before it becomes a scaled competitor to Walmart, Kroger, and Costco in the grocery vertical. We believe grocery remains a large and underpenetrated growth area for Amazon.

AMZN LSO Update: Wulfraat believes Amazon is still working to build out its Logistics As A Service Offering (LSO), with the recent rollout of Buy With Prime as an example of the company’s future intentions. Wulfraat sees this as a natural extension of the company’s strategy to maximize utilization of its retail capacity and foresees a five-year timeline for a full offering.

Takes From EVR ISI Food Retail Analyst Mike Montani:

Multichannel remains a key growth opportunity in the \$1.2tn+ food & consumables market as outlined in our latest survey deep dive [Store Resurgence is Not Digital Death, Just Slower Growth](#) on 5/13 and highlighted by our discussion with Marc Wulfraat. WMT/KR (OCDO-GB) have scale and a valuable head start. AMZN is working fervently to catch up. We estimate that Amazon/Whole Foods is just cracking the top ten on market share, and believe Amazon won’t be satisfied with anything less than top five. While the Whole Foods acquisition in mid ’17 was seen as a disruptive move, Amazon’s gains have been modest. Marc Wulfraat believes Walmart’s grocery supply chain is years ahead of Amazon’s, and that it would take billions of investment to catch up. Grocery delivery is still very difficult to do profitably (the only player we know of that does so at scale is Ocado) and that it really helps to have a \$150+ average order size whereas Amazon today does a lot of smaller orders. Marc sees the Micro Fulfillment Center (MFC) potential as over-hyped with Walmart’s main strength in pick from store and likely ~100 MFCs likely for them over time. Marc is more constructive on the Kroger-Ocado partnership as he views it as a transformative distribution ecosystem likely built out in five years time, with four Ocado powered Kroger CFCs already operational at scale in the U.S. (OH/FL/ATL/TX).

VALUATION METHODOLOGY

We derive our price target from an EV/EBITDA methodology.

RISKS

- 1.) Government regulation across Amazon's business lines in both the US and abroad that either subdues profitability or limits Amazon's ability to take market share.
- 2.) Vertical specific backlash aimed at AWS in an industry attempt to "not fund the competition".
- 3.) Large-scale data breach at AWS that diminishes customer trust and thus makes it difficult to better attack data sensitive verticals like Financial Services and Government.

COMPANIES UNDER COVERAGE BY AUTHOR

Symbol	Company	Rating	Price (2022-02-06)	Evercore ISI Target
ABNB	Airbnb, Inc.	Outperform	\$121.18	\$205.00
AMZN	Amazon.com, Inc.	Outperform	\$2499.09	\$4100.00
BKNG	Booking Holdings Inc.	Outperform	\$2383.51	\$3000.00
CHWY	Chewy, Inc.	Outperform	\$28.98	\$58.00
CTV	Innovid Corp.	Outperform	\$3.01	\$7.00
DASH	DoorDash, Inc.	Outperform	\$72.67	\$116.00
DIBS	1stdibs.com, Inc.	In Line	\$5.82	\$11.00
DUOL	Duolingo, Inc.	Outperform	\$87.92	\$120.00
EBAY	eBay Inc.	In Line	\$47.66	\$59.00
EXPE	Expedia Group	In Line	\$134.28	\$222.00
FB	Meta Platforms Inc.	Outperform	\$198.32	\$325.00
GDDY	GoDaddy, Inc.	In Line	\$74.02	\$91.00
GDRX	GoodRx Holdings, Inc.	In Line	\$8.01	\$12.00
GOOGL	Alphabet, Inc.	Outperform	\$2345.23	\$3300.00
GRAB	Grab Holdings, Inc.	Outperform	\$2.63	\$6.00
IAS	INTEGRAL AD SCIENCE HOLDING CORP	Outperform	\$12.51	\$22.00
KIND	Nextdoor Holdings, Inc.	Outperform	\$3.15	\$9.00
LYFT	Lyft, Inc.	Outperform	\$18.34	\$45.00
NFLX	Netflix, Inc.	In Line	\$204.29	\$300.00
OB	Outbrain Inc.	In Line	\$6.02	\$9.00
PINS	Pinterest, Inc.	In Line	\$19.92	\$34.00
RDFN	Redfin Corporation	In Line	\$10.94	\$26.00
SFIX	Stitch Fix, Inc.	In Line	\$8.73	\$13.00
SHOP	Shopify Inc.	Outperform	\$398.05	\$660.00
SNAP	Snap, Inc.	Outperform	\$14.85	\$36.00
SPOT	Spotify Technology S.A.	Outperform	\$116.20	\$235.00
TWTR	Twitter, Inc.	In Line	\$39.79	\$60.00
UBER	Uber Technologies, Inc.	Outperform	\$24.66	\$74.00
WIX	Wix.Com Ltd	Outperform	\$65.24	\$105.00
WRBY	Warby Parker Inc.	In Line	\$17.95	\$23.00
ZG	Zillow Group Inc.	In Line	\$41.39	\$47.00
ZIP	ZipRecruiter, Inc.	Outperform	\$19.32	\$32.00

TIMESTAMP**(Article 3(1)e and Article 7 of MAR)**

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Outperform- the total forecasted return is expected to be greater than the expected total return of the analyst's coverage sector.

In Line- the total forecasted return is expected to be in line with the expected total return of the analyst's coverage sector.

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Prior to March 2, 2017, Evercore ISI's recommendations were based on a stock's total forecasted return over the next 12 months:

Buy- the total forecasted return is expected to be greater than 10%

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Strong Buy- Return > 20%

Buy- Return 10% to 20%

Neutral - Return 0% to 10%

Cautious- Return -10% to 0%

Sell- Return < -10%

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Suspended- the company rating, target price and earnings estimates have been temporarily suspended.

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Evercore ISI rating (as of 06/02/2022)

Coverage Universe			Investment Banking Services I Past 12 Months		
Ratings	Count	Pct.	Ratings	Count	Pct.
Buy	528	62	Buy	92	17
Hold	291	34	Hold	28	10
Sell	13	2	Sell	0	0
Coverage Suspended	11	1	Coverage Suspended	3	27
Rating Suspended	8	1	Rating Suspended	5	63

Issuer-Specific Disclosures (as of June 02, 2022)

Price Charts



Ratings Key

B	Buy	OP	Outperform	L	Long	CS	Coverage Suspended
H	Hold	IL	In Line	NP	No Position	RS	Rating Suspended
S	Sell	UP	Underperform	S	Short		

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